

Introduction to Behavioral Biases

What we believe to be the motives of our conduct are usually but the pretexts for it.

—Miguel de Unamuno, Spanish Philosopher,
1864 to 1936

INTRODUCTION

Numerous research studies have shown that when people are faced with complex decision-making problems that demand substantial time and cognitive decision-making requirements, they have difficulty devising a rational approach to developing and analyzing a proper course of action. This problem is exacerbated by the fact that many consumers need to contend with a potential overload of information to process. Have you walked down the toothpaste aisle lately? Way too many choices—how do you pick? And this is one of the easier decisions we face! For more meaningful decisions, people don't systematically describe problems, record necessary data, and/or synthesize information to create rules for making decisions, which is really the best way make complex decisions. Instead, people usually follow a more subjective path of reasoning to determine a course of action consistent with their desired outcome or general preferences.

Individuals make decisions, although typically suboptimal ones, by simplifying the choices presented to them, typically using a subset of the information available, and discarding some (usually complicated but potentially good) alternatives to get down to a more manageable number. They are content to find a solution that is “good enough” rather than arriving at the optimal decision. In doing so, they may (unintentionally) bias the decision-making process. These biases may lead to irrational behaviors and flawed decisions. In the investment realm, this happens a lot; many researchers have documented numerous biases that investors have. This chapter will introduce